

**T**HERE WAS A SENSE of euphoria among consumer goods makers at the end of 2020. Lockdowns to check the spread of Covid-19 had just been eased, unleashing a deluge of pent-up demand that consumers predominantly channelled towards goods because most services were shut.

Recalling those days, Kamal Nandi, the Business Head and Executive Vice President of Godrej Appliances, says that though the crucial summer season had been washed away, sales of essentials from refrigerators to washing machines had shot through the roof by October. And it wasn't just urban customers loosening the grip on their wallets. A large mass of the urban workforce that was forced to migrate back to the hinterland also flocked to shops and online portals.

But that euphoria didn't last. Consumers clamped down on discretionary spending because of steep inflation and job and income uncertainty in the years that followed, and this was exacerbated by the Russian invasion of Ukraine, which pushed inflation up further. Unseasonal rains this summer and the uneven spread of the southwest monsoon have made matters worse. The renewed rise in inflation has added to their woes. Together, these factors slowed demand across the universe of consumer goods—from home appliances to snacks, shampoos and personal computers.

The consumer goods market's experience best encapsulates this. After growing about 25-40 per cent year-on-year in the second half of 2020, firms are now finding it hard to remain in the black. The unseasonal rains earlier this year in North India, coupled with elevated prices, compressed demand for air conditioners and refrigerators in the June quarter by at least 5-10 per cent.

In this scenario, veterans like Nandi have faced a challenge in recapturing the momentum of those post-lockdown days. "Discretionary spending was cut as most households were under pressure because their overall purchasing power was down drastically. We were expecting [to] be out of the inflationary cycle and that consumer spending [would make a comeback] in 2023. But that has not happened. The inflationary trend continues, and the mass segment has not really come back. Therefore, we have witnessed a [contraction] in mass market categories in the last six months," says Nandi.

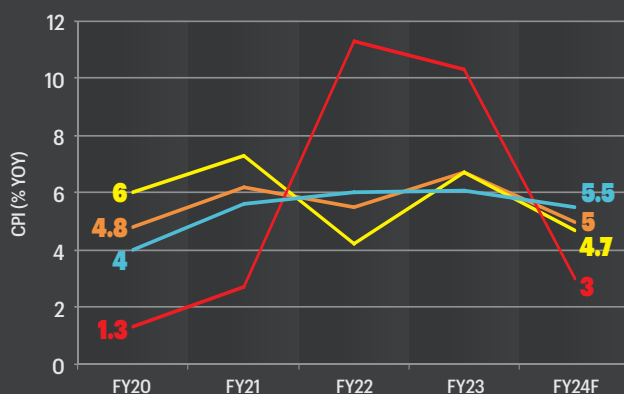
The pressure is also visible in the ₹5 lakh crore branded FMCG market. Data shows that volumes contracted in 2022 largely because of the steep decline in rural demand in recent quarters, though it has slowed significantly in the urban markets, too. Between the March and December quarters of 2022, volumes in rural areas



## RAY OF HOPE

> Analysts at CRISIL MI&A expect inflation to ease in 2024 to 5% as rise in fuel prices cools

> But uneven distribution of the rainfall and the impact of El Niño may push food inflation up



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SOURCE NATIONAL STATISTICAL OFFICE, CRISIL FORECASTS

shrank by 6-10 per cent year-on-year every quarter.

According to Sanjiv Mehta, former CEO and MD of consumer goods major Hindustan Unilever (HUL), high commodity prices played a key role. As prices of raw materials like palm oil, skimmed milk powder, and crude oil rose by 50-120 per cent between December 2020 and